AMERICAN CONTINENTAL RAILROAD INC. / ACRI

THE NATIONAL RAIL NETWORK

Capital scale, delivery phasing and investor return requirements for a proposed American high-speed rail system.

13,515	$135.15B	$162.18B
Indicative route miles across six regional systems	Base line-build estimate at $10m / route mile	Illustrative base plus 20% delivery allowance

INVESTOR PROPOSAL | OCTOBER 2026

A national ambition that must be earned corridor by corridor. The mileage is a new planning estimate derived from the earlier six-region network concept; it was not specified as a total in the prior prospectus.

CONCEPT-STAGE FINANCIAL MODEL / NOT AN OFFER OF SECURITIES

01 / INVESTMENT SUMMARY

The scale of the ambition

The earlier ACRI prospectus proposed six interconnected regional systems but did not assign an aggregate route-mile count. This proposal converts that architecture into an indicative corridor register: 13,515 route miles connecting major metropolitan, university, manufacturing, airport and government nodes. Every route length is a screening estimate, not a surveyed alignment.

13,515	$135.15B	$32.44B
Route miles in the illustrative network	Base capital at $10m per route mile	Annual 20% return hurdle on $162.18B

Executive reading

Question	Indicative answer
What is being built?	A proposed 13,515-route-mile network in six connected regions; 51 indicative city-pair segments in this model.
What is the cost at the requested assumption?	US$135.15B at $10M/route mile; US$162.18B with an illustrative 20% delivery allowance.
What does a 20% annual target mean?	At $162.18B invested, $32.44B/year in steady-state net cash return on capital; a 30-year level-cash-flow 20% IRR model produces about $32.57B/year.
Can time savings alone fund that return?	No. The prior prospectus central time-value scenario was $817.5M/year - about 2.5% of the annual cash hurdle, and time value is a social benefit, not ACRI revenue.
Is $10M/mile validated?	No. It is the stipulated base-case assumption. Public project comparators imply materially higher per-mile figures, with scope differences.

The investment proposition

Treat $10M/mile as a concept-stage unit assumption, not a bankable estimate. ACRI should finance route studies and reference designs first, prove one or two high-demand corridors, and scale only when cost, demand, delivery and propulsion gates are met.

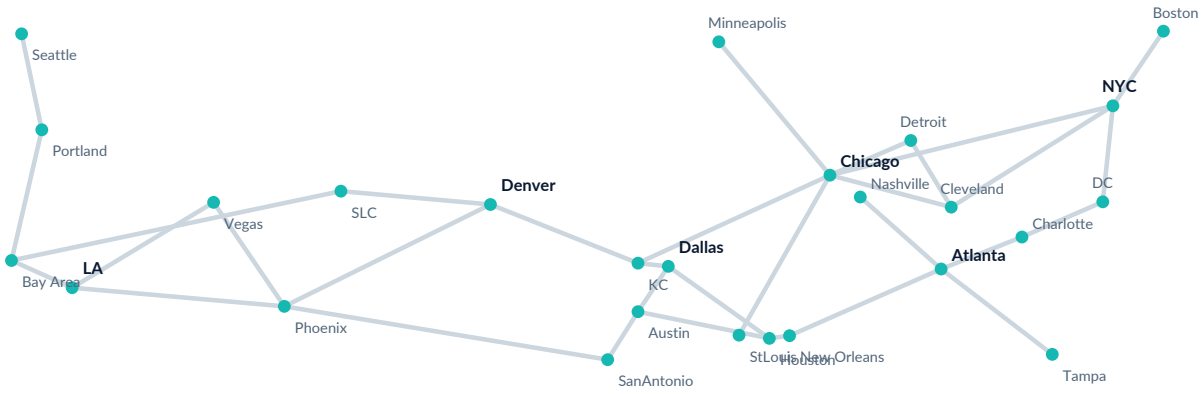
Important return convention

This model interprets the requested 20% per year as a target return on invested capital before any claim of bankability. It is not a promised or forecast return. The report shows unlevered, pre-financing cash-flow requirements to make the magnitude transparent; actual equity returns depend on debt, taxes, construction timing, residual value, grants, risk allocation and distributions.

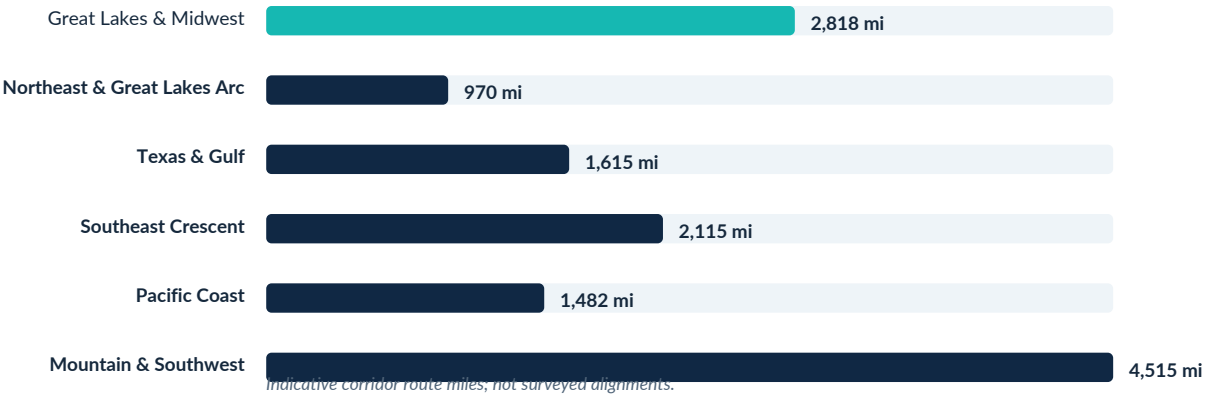
02 / MILEAGE ARCHITECTURE

Six regions, one connected system

The route register is designed to create value at transfer hubs, rather than as six disconnected projects. Chicago, Dallas-Fort Worth, Atlanta, Denver, Los Angeles and the Washington-New York corridor are the principal national interchange candidates. Exact alignments, stop patterns and shared infrastructure need to be resolved in corridor planning.



Indicative miles by regional system



Indicative corridor route miles; not surveyed alignments.

Regional system	Illustrative mileage	Base at $10M/mi	With +20% allowance
Great Lakes & Midwest	2,818 mi	$28.18B	$33.82B
Northeast & Great Lakes Arc	970 mi	$9.70B	$11.64B
Texas & Gulf	1,615 mi	$16.15B	$19.38B
Southeast Crescent	2,115 mi	$21.15B	$25.38B
Pacific Coast	1,482 mi	$14.82B	$17.78B
Mountain & Southwest	4,515 mi	$45.15B	$54.18B
TOTAL	13,515 mi	$135.15B	$162.18B

The network chart is conceptual and not geographically accurate. Route mileage is summed from the route register on pages 4-6. Route miles measure the corridor length once, not track-miles; double/triple track and passing infrastructure are not counted as additional route miles.

03 / ROUTE REGISTER

Corridor register A: Great Lakes, Midwest and Northeast

Planning lengths rounded to the nearest mile. They are indicative intercity corridor distances for screening, not route-survey mileage or engineering quantities. Each link is counted once in the stated system register.

Regional system	Candidate corridor	Route mi	Base capex @ $10M/mi
Great Lakes & Midwest	REGION SUBTOTAL	2,818	$28.18B
	Chicago - Milwaukee	85	$850.0M
	Milwaukee - Minneapolis-St. Paul	340	$3.40B
	Chicago - Detroit	283	$2.83B
	Detroit - Cleveland	170	$1.70B
	Chicago - Cleveland	345	$3.45B
	Chicago - Indianapolis	183	$1.83B
	Indianapolis - Columbus	175	$1.75B
	Cleveland - Columbus	135	$1.35B
	Chicago - St. Louis	284	$2.84B
	St. Louis - Kansas City	248	$2.48B
	Kansas City - Omaha	190	$1.90B
	Minneapolis-St. Paul - Omaha	380	$3.80B
Northeast & Great Lakes Arc	REGION SUBTOTAL	970	$9.70B
	Boston - New York	215	$2.15B
	New York - Philadelphia	95	$950.0M
	Philadelphia - Washington, DC	135	$1.35B
	New York - Albany	145	$1.45B
	Cleveland - Pittsburgh	135	$1.35B
	Pittsburgh - Washington, DC	245	$2.45B
	SUBTOTAL FOR THIS REGISTER	3,788	$37.88B

Route lengths may change materially after right-of-way selection, city-centre access design, avoidance of environmental constraints, bridge/tunnel requirements, utility relocations and station approach geometry. The initial estimate should be treated as a network-planning envelope only.

04 / ROUTE REGISTER

Corridor register B: Texas, Gulf and Southeast

Planning lengths rounded to the nearest mile. They are indicative intercity corridor distances for screening, not route-survey mileage or engineering quantities. Each link is counted once in the stated system register.

Regional system	Candidate corridor	Route mi	Base capex @ $10M/mi
Texas & Gulf	REGION SUBTOTAL	1,615	$16.15B
	Dallas-Fort Worth - Houston	239	$2.39B
	Dallas-Fort Worth - Austin	195	$1.95B
	Austin - San Antonio	79	$790.0M
	Houston - San Antonio	197	$1.97B
	Houston - New Orleans	350	$3.50B
	Dallas-Fort Worth - Oklahoma City	205	$2.05B
	Oklahoma City - Kansas City	350	$3.50B
Southeast Crescent	REGION SUBTOTAL	2,115	$21.15B
	Washington, DC - Richmond	110	$1.10B
	Richmond - Raleigh-Durham	165	$1.65B
	Raleigh-Durham - Charlotte	170	$1.70B
	Charlotte - Atlanta	245	$2.45B
	Atlanta - Jacksonville	345	$3.45B
	Jacksonville - Orlando	140	$1.40B
	Orlando - Tampa	85	$850.0M
	Atlanta - Nashville	250	$2.50B
	Nashville - Memphis	210	$2.10B
	Memphis - New Orleans	395	$3.95B
	SUBTOTAL FOR THIS REGISTER	3,730	$37.30B

Route lengths may change materially after right-of-way selection, city-centre access design, avoidance of environmental constraints, bridge/tunnel requirements, utility relocations and station approach geometry. The initial estimate should be treated as a network-planning envelope only.

05 / ROUTE REGISTER

Corridor register C: Pacific Coast, Mountain and Southwest

Planning lengths rounded to the nearest mile. They are indicative intercity corridor distances for screening, not route-survey mileage or engineering quantities. Each link is counted once in the stated system register.

Regional system	Candidate corridor	Route mi	Base capex @ $10M/mi
Pacific Coast	REGION SUBTOTAL	1,482	$14.82B
	Seattle - Portland	174	$1.74B
	Portland - Sacramento	580	$5.80B
	Sacramento - San Francisco Bay Area	90	$900.0M
	San Francisco Bay Area - Los Angeles	383	$3.83B
	Los Angeles - San Diego	120	$1.20B
	Sacramento - Reno	135	$1.35B
Mountain & Southwest	REGION SUBTOTAL	4,515	$45.15B
	Los Angeles - Las Vegas	270	$2.70B
	Las Vegas - Phoenix	300	$3.00B
	Phoenix - Denver	600	$6.00B
	Denver - Salt Lake City	525	$5.25B
	Salt Lake City - Sacramento	650	$6.50B
	Denver - Kansas City	600	$6.00B
	Phoenix - San Diego	355	$3.55B
	Denver - Albuquerque	450	$4.50B
	Albuquerque - Dallas-Fort Worth	650	$6.50B
	Phoenix - Tucson	115	$1.15B
	SUBTOTAL FOR THIS REGISTER	5,997	$59.97B

Route lengths may change materially after right-of-way selection, city-centre access design, avoidance of environmental constraints, bridge/tunnel requirements, utility relocations and station approach geometry. The initial estimate should be treated as a network-planning envelope only.

06 / CAPITAL COST PROPOSAL

Base arithmetic - and the real-world cost question

The requested $10 million per route mile creates a transparent first-pass arithmetic model. For a 13,515-mile programme, it implies $135.15 billion of base line investment. A 20% delivery allowance takes the working envelope to $162.18 billion; a 35% allowance takes it to $182.45 billion. These allowances are modelling sensitivities, not a substitute for a design-stage estimate.

Case	Unit cost / allowance	Network capital	Interpretation
User-specified base	$10M per route mi	$135.15B	Pure unit-cost arithmetic; scope not validated.
Base + 20% allowance	$12M effective / route mi	$162.18B	Illustrative owner, contingency and delivery risk allowance.
Base + 35% allowance	$13.5M effective / route mi	$182.45B	Higher allowance sensitivity; still may omit major scope items.

External cost context

The $10M/mile assumption is substantially below public comparators. USDOT described Brightline West as a $12B, 218-mile project in 2024 - a simple project-value ratio of about $55M per route mile. California High-Speed Rail Authority's 2025 supplemental update reported a benchmark average of $46M/mile across European comparator projects, increasing to $133M/mile on routes with high proportions of tunnelling and viaducts. The project scopes, dates, geography and inclusion of systems differ; these are not directly interchangeable unit rates, but they indicate the risk of using $10M/mile as an all-in 300-400 km/h cost. [1][2]

Unit-rate sensitivity	Network cost at 13,515 mi	Multiple of ACRI $10M assumption
$10M / mi (ACRI base)	$135.15B	1.0x
$46M / mi (comparator average)	$621.69B	4.6x
$55.05M / mi (Brightline West ratio)	$743.94B	5.5x
$133M / mi (high structures comparator)	$1.80T	13.3x

Scope definition is the critical caveat

Before investment approval, ACRI must state whether the unit rate covers land/right-of-way, earthworks, bridges and tunnels, grade separation, track, signalling, power or hydrogen systems, stations, depots, rolling stock, owner costs, financing during construction and contingency. If these are excluded, total funding will be higher than the base model.

Sources: [1] U.S. Department of Transportation, Brightline West project announcement, 23 Jan 2024. [2] California High-Speed Rail Authority, 2025 Supplemental Project Update Report, p. 74 comparator cost discussion. Full links on the final page.

07 / FINANCIAL RETURN MODEL

What 20% a year requires

A 20% annual return target is an investor hurdle, not an engineering output. On the $162.18B working capital envelope, a simple 20% annual cash return requires $32.44B of recurring net cash available to capital providers each year once the full network is operating. On base construction capital alone, the requirement is $27.03B/year.

Return convention	Base capital $135.15B	With +20% allowance $162.18B
20% annual cash yield	$27.03B / year	$32.44B / year
Target net cash per route mile	$2.00M / mi / year	$2.40M / mi / year
30-year level cash flow at 20% IRR*	$27.14B / year	$32.57B / year

*Annuity illustration: one upfront investment at opening, level year-end unlevered cash flows for 30 years, 20% discount / IRR, no residual value and no construction-period draw schedule. It is a simplified capital hurdle, not a forecast of financial performance.

Annual gross revenue needed under cash-flow-margin sensitivities

If free cash flow available to capital equals 25%, 35% or 50% of annual gross revenue, the +20% allowance case would require the following mature-network revenues to support the 20% simple cash-return hurdle. These are arithmetic sensitivities, not ridership or fare forecasts.

Free cash flow as % of gross revenue	Required annual gross revenue
50%	$64.87B
35%	$92.67B
25%	$129.74B

The hurdle is exceptionally demanding

A $32.44B annual cash target implies $2.4M per route mile every year on the cost-adjusted assumption. The system would need a very large fare base, high utilisation, disciplined operating costs and/or substantial ancillary revenue and public compensation. Leverage can amplify equity returns but also raises default risk and does not create underlying economic value.

Compounding is not the same as cash yield

If capital itself compounded at 20% with no distributions, $1 would become about $2.49 after five years and $6.19 after ten years. This is mathematical compounding only; it is not a valuation of railway assets and is not the same thing as a 20% cash yield or a project IRR.

08 / PHASING AND ECONOMIC REALITY

Build the system in investable increments

The network should be delivered as corridor concessions or project companies with separate construction, demand and operating accounts, while using common ticketing, signalling, rolling-stock standards and transfer hubs. A staged programme can reduce initial commitment and create real operating evidence before national expansion.

Stage	Route miles	Base capex	With +20% allowance	20% annual target on adjusted capital
Stage 1 - proof network	2,000	$20.00B	$24.00B	$4.80B/yr
Stage 2 - regional connectors	3,000	$30.00B	$36.00B	$7.20B/yr
Stage 3 - national interregional build	8,515	$85.15B	$102.18B	$20.44B/yr

These are allocation cases to organise the investment discussion, not final routes or an approved construction schedule. The three stage mileages sum to the 13,515-mile concept. A notional 20-year build would average 676 route miles and $8.11B of +20%-allowance capital per year, but actual expenditure would be lumpy and corridor-dependent.

Time savings do not equal ACRI revenue

Prior prospectus time-value case	Gross annual social time value	As a share of $32.44B return hurdle
Low: 10m trips x 1h	$218M	0.7%
Central: 25m trips x 1.5h	$817.5M	2.5%
High: 50m trips x 2h	$2.18B	6.7%

The previous ACRI prospectus valued illustrative annual travel-time savings using a $21.80 per person-hour assumption. Those values represent user welfare, not ticket receipts or cash legally available for debt service. Fare revenue, property income, availability payments and other monetisable streams must be modelled separately; public support, if sought, requires its own affordability and benefit-cost case.

Suggested capital gates

Release development capital first; release construction capital only after an independently reviewed alignment, environmental path, cost range, passenger-demand forecast, station-access plan, procurement plan and hydrogen-versus-electric lifecycle comparison. Use the operating performance of early corridors to decide how quickly the wider network should grow.

09 / INVESTOR STRUCTURE

Separate the public case from the private cash case

ACRI should not present the value of travel-time savings as its revenue forecast. Its investment model should distinguish passenger demand, farebox yield, operating costs, renewal capex, land/property proceeds, concessions, debt service, taxes and any public availability payments. Each corridor should have its own project-finance model, with network effects measured separately and allocated transparently.

Revenue / value line	Potential role	Required evidence
Passenger fares	Recurring operating revenue; load factor and fare yield are decisive.	Origin-destination demand model, fare elasticity, competing fares and timetable frequency.
Station-area development	Lease, retail, office, hotel and joint-development proceeds around accessible hubs.	Land control, zoning, absorption, additionality and public-infrastructure costs.
Access / availability payments	Could compensate for public-service benefits that fares cannot fully monetise.	Competitive procurement, long-term affordability and measurable service standards.
Maintenance, systems and fleet services	Potential recurring service business if ACRI controls standardised assets and maintenance.	Whole-life costs, fleet availability, renewals and contract scope.
Hydrogen supply and depots	Could anchor local low-carbon hydrogen demand where the rail case is proven.	Reliable low-carbon supply, delivered fuel price, storage/refuelling capex and lifecycle emissions.

Principal risks and mitigations

Risk	Why it matters	Mitigation / gate
Unit-cost shortfall	$10M/mi may not cover land, structures, urban approaches and systems.	Publish a scope-complete estimate with low/base/high risks per corridor.
Demand and fares	A national network can have uneven loads; a large map does not guarantee a viable route.	Independent OD forecasts and downside stress tests; stage capacity to demand.
Hydrogen at 300-400 km/h	High-speed hydrogen-electric operation is not a mature, proven U.S. commercial template.	Prove power, storage, range, safety, lifecycle carbon and cost; preserve electrified trunk fallback.
Delivery coordination	Multiple states, agencies, utilities and landowners can cause delay and cost escalation.	Interstate compact, standardised procurement, early utility agreements, independent assurance.
Return target mismatch	20% annual cash yield is very demanding for long-life fixed infrastructure.	Use an explicit risk-adjusted hurdle by asset class; do not promise returns before operating evidence.

Investment recommendation

ACRI should be financed as a portfolio of corridor opportunities, not as one immediate $160B+ commitment. Begin with feasibility, route options, node access and a demonstrator; use independent project-level decisions to protect capital, and treat 20% as a hurdle for screening rather than a claim that the network can earn it.

10 / SOURCES, METHODS AND LIMITATIONS

Evidence base and modelling convention

This proposal expands the conceptual six-region network from ACRI's preceding economic prospectus into an illustrative route register. It is intended to quantify ambition and test the implications of a stated unit cost and return target; it does not establish that the alignment, cost, demand or return is achievable.

Method 1 - corridor miles. A 51-link screening schedule has been assembled from indicative distances between candidate city nodes. The route register totals 13,515 route miles. Lengths are rounded planning assumptions and should be replaced by GIS-measured options, right-of-way routing and engineering alignments. Route miles count the corridor length once and do not account for multiple tracks.

Method 2 - capital. Base construction arithmetic is route miles multiplied by $10,000,000. An illustrative 20% or 35% allowance is applied multiplicatively. No separate detailed estimate is available for rolling stock, stations, land, utility works, financing costs, environmental mitigation, major structures, systems or contingency; these items must be defined within the per-mile unit before it can be treated as all-in.

Method 3 - returns. Simple annual cash return is 20% multiplied by invested capital. The 30-year IRR illustration assumes a single initial outlay and level annual net cash flows over 30 years. Revenue sensitivities divide the $32.436B/year cash hurdle by assumed free-cash-flow margins of 50%, 35% and 25%. No leverage or tax model is included.

Method 4 - social benefits. The comparison with $817.5M and $2.18B of annual travel-time value repeats the illustrative cases in the prior ACRI prospectus. These are welfare measures, not ACRI earnings and not a complete benefit-cost analysis.

Sources

[1] U.S. Department of Transportation, “U.S. Department of Transportation Approves $2.5 Billion in Private Activity Bonds Allocation for Brightline West Project,” 23 January 2024. Reports a $12B project and 218-mile route. Open USDOT source.

[2] California High-Speed Rail Authority, 2025 Supplemental Project Update Report, August 2025, comparator discussion (p. 74). Reports an average $46M/mile for European comparator projects and $133M/mile where tunnelling/viaducts form a high share. Values are reference context, not directly transferable U.S. estimates. Open report PDF.

[3] ACRI, Time, Connectivity and the Next American Rail Spine, concept-stage economic prospectus, 11 October 2026. Prior proposal identified six regional systems, candidate nodes, time-value scenarios and a planning horizon to 2055, but did not specify an aggregate network mileage or a bankable capital cost.

Disclaimer

This document is for discussion and research purposes only. It is not an offer to sell securities, investment advice, a feasibility study, an engineering cost estimate, a demand forecast or a promise of returns. No investment decision should rely on the $10M/mi assumption or 20% return target without independent technical, commercial, legal and financial due diligence.

Prepared for economist and investor discussion | 11 October 2026